

Aiviq Limited
(Formerly Alpha Data Solutions Limited)

Annual report and financial statements

Registered number 11480862

31 March 2022



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Company Information

Directors

ENB Fraser
JC Paton
GA Cook (Appointed 30 June 2022)
LJ Griggs (Appointed 30 October 2021)
NE Spencer (Resigned 30 October 2021)
L Radenovic (Resigned 19 January 2022)

Company number 11480862

Registered office 60 Gresham Street,
London,
EC2V 7BB

Auditor KPMG LLP
St Nicholas House,
31 Park Row,
Nottingham,
NG1 6FQ

Banker HSBC Bank UK
71 Queen Victoria Street,
London,
EC4V 4AY

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2022.

Principal activities

The principal activity of the Company is the provision of consulting related services and software products to clients in the asset and wealth management industries. The Company commenced trading in the comparative period.

Results and dividend

For the year ended 31 March 2022 (FY 22¹), the Company recorded revenue of £3,036,000 (FY 21: £2,094,000). Loss after tax decreased to £1,318,000 (FY 21: £1,361,000). This represents less progress than was planned for the Company in the year, following a lower-than-expected level of new projects undertaken.

The results for the year are set out in the attached profit and loss account. The Directors have not recommended the payment of a final dividend (FY 21: £nil).

Future developments

The Directors are optimistic of improved financial performance in the coming year following a rebranding of the Company's operations in the UK from ADS to Aiviq, and a promising pipeline of work going in to FY 23. Further, the Company have employed a new Head of Aiviq to help refresh and reinvigorate the Company's strategy. The Directors will continue to monitor the performance of the Company throughout the coming financial period.

Following the end of the financial period, the Company was re-named from Alpha Data Solutions Ltd to Aiviq Limited, to align with the aforementioned Company rebrand.

Directors

The Directors who held office during the year and at the date of this report were as follows:

ENB Fraser
J Paton
GA Cook (Appointed 30 June 2022)
LJ Griggs (Appointed 30 October 2021)
NE Spencer (Resigned 30 October 2021)
L Radenovic (Resigned 19 January 2022)

Political contributions

The Company made no political donations and incurred no political expenditure during the year.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not re-disclosed those disclosures required by the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on our website in the Group's Annual Report & Accounts 2022 on pp.76-80.

¹FY 22 is the financial year covering the 12 months to 31 March 2022. By comparison, FY 21 is the previous financial year covering the 12 months to 31 March 2021; FY 23 is the subsequent financial year covering the 12 months to 31 March 2023.

²Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

Directors' report (continued)

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton
Director

60 Gresham Street
London
EC2V 7BB

12 October 2022

Statement of Directors' responsibilities in respect of the Directors' report and the financial statements

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Directors' Report that complies with that law and those regulations.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Independent auditor's report to the members of Aiviq Limited

Opinion

We have audited the financial statements of Aiviq Limited ("the Company") for the year ended 31 March 2022 which comprise the Profit and Loss account, Balance sheet, Statement of changes in Equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2022 and of its loss for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that revenue is recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries, and the risk of bias in accounting estimates and judgements such as share-based payment assumptions.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;
- Identifying revenue transactions to test based on unusual pairings with a credit or debit to revenue;
- Assessing significant accounting estimates for bias.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Independent auditor's report to the members of Aiviq Limited (continued)

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations

Directors' report

The directors are responsible for the directors' report. Our opinion on the financial statements does not cover this report and we do not express an audit opinion thereon.

Our responsibility is to read the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the directors' report;
- in our opinion the information given in this report for the financial year is consistent with the financial statements; and
- in our opinion this report has been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to take advantage of the small companies exemption from the requirement to prepare a strategic report.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 4, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House,
31 Park Row
Nottingham NG1 6FQ

13 October 2022

Profit & loss account
for the year ended 31 March 2022

	Note	Year ended 31 March 2022 £000	Year ended 31 March 2021 £000
Revenue	2	3,036	2,094
Cost of sales	3, 4, 5	(3,556)	(2,522)
Gross (loss) / profit		(520)	(428)
Administrative expenses		(1,392)	(1,485)
Operating loss		(1,912)	(1,913)
Other interest payable and similar expense	6	-	(1)
Loss before taxation		(1,912)	(1,914)
Taxation	7	594	553
Loss for the financial year		(1,318)	(1,361)

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet
As at 31 March 2022

	Note	As at 31 March 2022		As at 31 March 2021	
		£000	£000	£000	£000
Non-current assets					
Tangible fixed assets	8		29		23
Capitalised implementation costs	11		142		159
Intangible fixed assets	9		181		644
			<u>352</u>		<u>826</u>
Current assets					
Debtors	11	698		957	
Cash at bank and in hand	12	774		526	
			<u>1,472</u>		<u>1,483</u>
Current liabilities					
Creditors: amounts falling due within one year	13	(5,372)		(4,489)	
Deferred tax liability	15	(44)		-	
			<u>(5,416)</u>		<u>(4,489)</u>
Net current liabilities			<u>(3,944)</u>		<u>(3,006)</u>
Total assets less current liabilities			<u>(3,592)</u>		<u>(2,180)</u>
Non-current liabilities					
Non-current liabilities	14		(256)		(350)
Net liabilities			<u>(3,848)</u>		<u>(2,530)</u>
Capital and reserves					
Called up share capital	16		-		-
Profit and loss account			(3,848)		(2,530)
Shareholders' funds			<u>(3,848)</u>		<u>(2,530)</u>

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 12 October 2022. They were signed on its behalf by:



John C Paton
Director

Company registered number: 11480862

Statement of changes in equity

	Called up share capital £000	Profit and loss account £000	Total Shareholders' funds £000
As at 1 April 2020	-	(1,169)	(1,169)
Total comprehensive income for the period			
Loss for the period	-	(1,361)	(1,361)
Transactions with owners			
Dividends	-	-	-
As at 31 March 2021	<u>-</u>	<u>(2,530)</u>	<u>(2,530)</u>
Total comprehensive income for the period			
Loss for the period	-	(1,318)	(1,318)
Transactions with owners			
Dividends	-	-	-
As at 31 March 2022	<u>-</u>	<u>(3,848)</u>	<u>(3,848)</u>

The accompanying notes form part of these financial statements.

Notes

(forming part of the financial statements)

1 Accounting policies

Aiviq Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 11480862 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken. Further, in accordance with Section 414A (2) and 414B (b) of the Companies Act 2006, the Company has taken the exemption from preparing a strategic report.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of group settled share based payments; and
- certain disclosures required by IFRS 16 Leases in relation to disclosure of the company's leasing activities.
- certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2021.

Revenue recognition

The Directors note that the process of revenue recognition in the Company requires a judgement to be made on the identification of distinct performance obligations under the Company's software contracts with customers. These contracts comprise software fees and other related services, which customers can access over the life of the contract, in line with related performance obligations. Interpretation of the terms of these contracts determine whether the performance obligation is satisfied over time or at a point in time. For further information on the accounting policy implemented by the Company, please refer to section 1.11 below.

The Directors have identified the following area as the key estimate that is considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Impairment of capitalised development expenditure

The Company determines whether capitalised development costs should be impaired on at least an annual basis. This requires an estimate of the value in use of the CGU to which the costs have been allocated. To estimate the value in use, the Company estimates the expected future cash flows from the CGU and discounts to their present value. Forecasting expected cash flows and selecting appropriate discount rates inherently requires estimation. Based on the forecasted cash flows and sensitivity analysis performed there is no reasonably possible outcome where an impairment charge is required at year end. However it is considered appropriate to disclose this as an area of significant estimation due to the size of the balance, the heightened uncertainty due to the residual market uncertainty due to the ongoing COVID-19 environment, and the fact that it could change as a result of future events over the next several years.

1.3 Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, access to intercompany funding from other Group entities, cash liquidity and existing undrawn borrowing facilities.

Notwithstanding net current liabilities of £3,944,000 as at 31 March 2022, the financial statements of this trading company have been prepared on a going concern basis. The Directors consider this to be appropriate on the basis of cash flow forecasts prepared for the wider Group, which support the ability of the Company to operate as a going concern. The Group prepared cash flow forecasts covering the going concern period. The Directors of the Group considered the principal risks and mitigants and analysed a range of cash flow downside scenarios including a "reverse-stress test" scenario. This models the decline in sales that the Group would be able to absorb over the going concern period before utilising all of the existing cash reserves available. The Directors consider this scenario and the sequence of events that could lead to it to be remote, as it requires annualised revenue reductions of close to 40% compared to the base case, before modelling any mitigating actions, including cost reductions. Refer to p 136 of the Group's 'Annual Report & Accounts 2022' for further detail of these forecasts.

Notes (continued)

1.3 Going Concern (continued)

The ability of the Company to settle its liabilities as they fall due within the going concern period is dependent on the Company's ultimate parent company, Alpha Financial Markets Consulting Plc not seeking repayment of the amounts currently due to other companies controlled by the Group, which at 31 March 2022 amounted to £3,635,000. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility and the strength of the Group's cash position at 31 March 2022. The Group's RCF remains fully undrawn in the going concern scenarios. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

After careful consideration, the Directors have a reasonable expectation that the Company's existing resources, supplemented by the support of the wider Group, are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

1.4 Foreign currency

The company's functional and presentational currency is GBP.

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through profit and loss account.

Trade and other debtors

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade receivables' balances recorded in the Company's statement of financial position comprise a relatively small number of large balances and are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company considers historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include historical collection experience for each customer, the assessed liquidity of key customers within the receivables balance, and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Group classifies all intercompany receivables that form a part of the normal trading cycle of the Group as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve-month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2022, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Amounts owed to Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Leases

The Company leases office premises for use in operations. In line with the practical expedients defined below, all office leases held by the company are outside of the scope of IFRS 16 in the current and prior period.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as at 1 April 2021 as 'short-term leases', and those with a low value as 'low value leases'. Consequently, no lease liability or right-of-use asset was calculated thereon. These leases are expensed in the statement of profit and loss. The Company has also used the practical expedient permitted by IFRS 16 to apply a single discount rate to a portfolio of leases with reasonably similar characteristics.

1.6 Tangible fixed assets

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years straight line
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Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

1.7 Intangible assets

Internally developed intangible assets

Capitalised development costs represent the costs incurred in the development of enhancements to internally-generated software.

A useful economic life of 3 years has been deemed appropriate based on the expected project lifecycle in development of new software. The amortisation charge is recognised in administrative expenses within the profit and loss account.

1.8 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.9 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the statement of profit or loss.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non market-based vesting conditions) at the date of grant.

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

Notes (continued)

1 Accounting policies (continued)

1.9 Employee benefits (continued)

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the statement of profit or loss.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non market-based vesting conditions) at the date of grant.

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

At the end of each reporting period the assumptions underlying the number of awards expected to vest are adjusted for the effects of non-market-based vesting conditions to reflect the conditions prevailing at that date. The impact of any revisions to the original estimates is recognised in the statement of profit or loss, with a corresponding adjustment to equity. Fair value is measured by the use of a binomial model. The assumptions have been adjusted, based on management's best estimate, for the effects of non-transferability, lack of dividend until vesting and exercise restrictions.

The fair value calculations have been externally assessed as reasonable in the circumstances.

After vesting, the Group satisfies share option exercises either through the issuance of new ordinary shares, or through the transfer of existing shares held in the Company's EBT to the employee. Any share options not exercised upon vesting remain outstanding until the end of the contracted exercise period.

Regarding the share-based payments charge relating to employees of the Company, there is an intra-group recharge arrangement with the Company's ultimate parent undertaking, to reflect the benefits received by the respective entity in relation to employees granted share options.

The Company is considered to be the receiving entity in the arrangement, in line with the benefit received for services provided through ongoing employment. The Company's ultimate parent undertaking is deemed to be the settling entity in the intra-Group arrangement, as share options granted are in relation to ordinary shares of the parent, and recognises the share-based payments charge for the full Group in other reserves.

Amounts relating to employees who provide services directly to the Company are recorded within the profit and loss account in the form of a management recharge.

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting Plc shares. The Company offers two distinct schemes, the 'Management Incentive Plan' (MIP) and the 'Employee Incentive Plan' (EIP). These are described below:

The Management Incentive Plan ("MIP")

The Company has a MIP to retain and incentivise the Directors and senior management.

Options granted in the current and prior years to the Directors and senior management of the Company are subject to the fulfilment of two or more performance conditions determined by the Group's remuneration committee.

MIP awards have either nil exercise price payable (or no more than a nominal purchase price payable) in order to acquire shares pursuant to options. MIP awards have either 3- or 4-year vesting periods from the date of grant and can be equity-settled only.

The Employee Incentive Plan ("EIP")

Under the EIP, a broad base of the Group's employees have been granted share options or share awards over a small number of Alpha Financial Markets Consulting Plc shares. The EIP has been structured as is most appropriate under the local tax, legal and regulatory rules.

Further disclosure of these schemes is provided within the Group's consolidated 2021 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting Plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

1.10 Provisions

Provisions are distinct from other liabilities as there is uncertainty over the timing or amount of the cash outflow required to settle the liability. Provisions are measured at the present value of the expenditure expected to be required to settle the obligation. These are discounted to present value using an appropriate pre-tax discount rate, where the time value of money is material.

Notes (continued)

1 Accounting policies (continued)

1.11 Revenue recognition

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income is measured based on the transaction price allocated to the performance obligation from the sale of goods or provision of services. Net fee income is recognised either at a 'point in time' when the performance obligation in the contract has been performed or 'over time' as control of the goods or services are transferred to the customer. Recharged expenses comprise the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company. The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc.) as the services are specifically tailored to clients' projects and scope of work.

Revenue generated from software licensing, hosting and related support services provided over a contracted period of time is combined and allocated to a single performance obligation. These contracts are considered to be satisfied over time, in line with the benefits being transferred to the customer. Revenue is recognised on straight-line basis over the contractual license term.

Implementation services provided by the Company to the customer are classified as either being distinct performance obligations or non-distinct from the licensing and hosting promises described above, dependent on the fact pattern within the underlying contractual arrangement. The Company considers the level of inter-dependency between the contractual promises, and whether the customer can consume the benefits of the licence without the implementation service being performed. Where implementation services are required for the customer to use the software, these services are considered to be non-distinct from the licensing performance obligation. Therefore, the Company accounts for these as a single performance obligation satisfied over the licence term, as described above. The Company generally considers the initial phase of implementation to be non-distinct from the associated licence. The Company typically bills and receives cash for these implementation services in advance of the revenue being recognised, resulting in the recognition of a contract liability.

Costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

Other distinct implementation services, as well as separately billable maintenance, support, data assurance and training are treated as separate performance obligations and revenue is recognised as these services are delivered.

Contract modifications relating to the renewal of software licences are accounted for as separate revenue contracts. Other contract modifications are considered on a case by case basis.

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables. Where amounts have been invoiced in excess of revenue recognised, the excess is a contract liability and is included within deferred income.

In relation to licencing contracts, billing occurs at the beginning of the contractual licence period or incrementally over the course of the licence, in line with the contractual terms. For implementation services, billing typically occurs a month in arrears in line with a contractually agreed schedule.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

1.12 Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs, subsistence and travel that are directly attributable to the delivery of services and supporting growth.

With regard to the Company's software licensing arrangements, costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

1.13 Expenses

Interest receivable and interest payable

Interest payable and similar expenses include interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16. Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method.

1.14 Taxation

Tax on the profit or loss for the year comprises current tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

1.15 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2022. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards, amendments and interpretations which are now effective:

- Interest Rate Benchmark Reform – Phase 2 - (Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16), effective from 1 January 2021;
- COVID-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16), effective from 1 January 2021;

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2022.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

Notes (continued)

2 Revenue

	FY 22 £000	FY 21 £000
Rendering of services	3,036	2,094
Rechargeable expenses	-	-
	<u>3,036</u>	<u>2,094</u>
	FY 22 £000	FY 21 £000
<i>By activity</i>		
Provision and implementation of software and related services	<u>3,036</u>	<u>2,094</u>

3 Auditor's remuneration

	FY 22 £000	FY 21 £000
Audit of these financial statements	<u>32</u>	<u>21</u>

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	FY 22	FY 21
Administrative	1	1
Sales	16	17
	<u>17</u>	<u>18</u>

The aggregate payroll costs of these persons were as follows:

	FY 22 £000	FY 21 £000
Wages and salaries	1,972	1,498
Social security costs	254	209
Contributions to defined contribution plans	43	26
	<u>2,269</u>	<u>1,733</u>

At the year end, 382,436 (FY 21: 376,114) share options over the equity in Alpha Financial Markets Consulting Plc, the parent company, remained outstanding to the Company's management and employees. The weighted average remaining contractual period to vest for outstanding share options is 2 years. All share options outstanding at the year end date have a nominal exercise price. During the year no share options vested (FY 21: 187,500), however 31,250 options that vested in the comparative period were exercised at nominal value. The Company has incurred a charge to the profit & loss account in FY 22 of £289,955 (FY 21: £175,690) relating to these schemes under IFRS 2 for employees and management that provide direct services to the Company.

Notes (continued)

5 Directors' remuneration

	FY 22 £000	FY 21 £000
Directors' remuneration ²	285	452
Company contributions to money purchase pension plan	11	12
	<u> </u>	<u> </u>
	Number of Directors	
	FY 22	FY 21
Retirement benefits are accruing to the following number of Directors under:		
Money purchase schemes	2	2
Long term share incentive plan	2	2
	<u> </u>	<u> </u>

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid Director was £170,000 (FY 21: £308,000).
Amounts paid or payable to the Company's Directors through the Company's parent undertakings have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to the other Group companies.

6 Other interest payable and similar expense

	FY 22 £000	FY 21 £000
Interest payable	-	1
	<u> </u>	<u> </u>
Total interest payable and similar expense	-	1
	<u> </u>	<u> </u>

7 Taxation

Recognised in the profit and loss account

	FY 22 £000	FY 22 £000	FY 21 £000	FY 21 £000
<i>Current tax</i>				
Current tax on income for the period		-		(342)
Group relief payable/(receivable)		(251)		-
Adjustments in respect of prior periods		(387)		(211)
Total current tax		(638)		(553)
<i>Deferred tax</i>				
Origination and reversal of timing differences	(90)		-	
Effect of tax rate change on opening balances	32		-	
Adjustments in respect of prior periods	102		-	
		<u> </u>		<u> </u>
		44		-
		<u> </u>		<u> </u>
		(594)		(553)
		<u> </u>		<u> </u>

² For FY 22, the methodology for determining directors' remuneration for the year has been modified to include the bonus accrued in respect of FY 22, instead of the bonus that was paid during the year. Directors' remuneration for FY 21 includes the bonus that was paid during the year and has not been restated.

Notes (continued)

7 Taxation (continued)

Reconciliation of effective tax rate

	FY 22 £000	FY 21 £000
Loss for the year	(1,318)	(1,361)
Total tax income	(594)	(553)
Loss excluding taxation	(1,912)	(1,914)
Tax using the UK corporation tax rate of 19% (FY 21: 19%)	(363)	(364)
Fixed asset differences	(2)	-
Expenses not deductible for tax purposes	40	38
Group relief surrendered	251	-
Receipt of group relief	(251)	-
Adjustments in respect of prior periods	(387)	(228)
Adjustments in respect of prior periods (deferred tax)	102	-
Deferred tax not recognised	5	1
Remeasurement of deferred tax for changes in tax rates	11	-
Total tax income	(594)	(553)

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. Once effective, this change would increase the Company's future current tax charge accordingly.

On 23 September 2022, the UK Government announced revised plans to hold the rate of UK corporation tax at 19%, cancelling the previous plans to increase the rate to 25% from 1 April 2023. This revised plan has not yet been substantively enacted and has no impact on the current or deferred tax charge in the year ended 31 March 2022.

8 Tangible fixed assets

	Computer equipment £000
Cost	
Balance at 1 April 2021	45
Additions	26
Disposals	(4)
	67
Depreciation and impairment	
Balance at 1 April 2021	(22)
Depreciation charge for the year	(19)
Disposals	3
	(38)
Net book value	
At 31 March 2022	29
At 31 March 2021	23

Notes (continued)

9 Intangible assets

	Capitalised development costs £000
Cost	
At the start of the year	1,391
Additions	-
At the end of the year - total	<u>1,391</u>
Amortisation	
At the start of the year	(746)
Charge for the year	(464)
At the end of the year - total	<u>(1,210)</u>
Net book value	<u>181</u>

Capitalised development costs

Capitalised development costs represent the costs incurred in the development enhancements to the 360 SalesVista software product within Aiviq Limited.

A useful economic life of 3 years has been deemed appropriate based on expected project lifecycle in development of new software.

The amortisation charge is recognised in administrative expenses within the profit and loss account. There is an average of 0.6 years remaining to be amortised for the capitalised development costs in relation to the development of software.

10 Fixed asset investments

	Shares in Group undertakings £000
At 31 March 2022 & 31 March 2021	<u>-</u>

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2022	Class and percentage of shares held - 31 March 2021
Obsidian Alpha Data Solutions LLC	Serbia	1	Consultancy services	100% ordinary	100% ordinary

Notes:

1. Belgrade, Serbia at Bulevar kralja Aleksandra no.52

11 Debtors

	FY 22 £000	FY 21 £000
Trade debtors	306	73
Capitalised implementation costs	203	185
Prepayments and accrued income	44	60
Amounts owed by Group undertakings	145	639
	<u>698</u>	<u>957</u>

Amounts owed by Group undertakings are interest free and are repayable on demand.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit losses in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Amounts relating to the capitalisation of non-distinct software implementation costs, incurred in advance of the commencement of the client's licence period, are recognised in current and non-current assets. Non-current capitalised implementation costs of £142,000 are presented on the face of the balance sheet. These current and non-current implementation assets in relation to contracts are amortised over an expected life equivalent to the contracted licence period. Amortisation recognised in the period in respect of these costs amounted to £211,000 (FY 21: £167,000). No impairment was deemed necessary in the period. No significant judgements have been made in determining the amount of costs to be capitalised, which primarily comprise costs within scope of IAS 19 Employee Benefits.

Notes (continued)

12 Cash and cash equivalents

	FY 22 £000	FY 21 £000
Cash and cash equivalents	774	526
Closing balance	774	526

13 Creditors: amounts falling due within one year

	FY 22 £000	FY 21 £000
Trade creditors	380	65
Amounts owed to Group undertakings	3,635	3,561
Taxation and social security	148	174
Accruals and deferred income	1,123	682
Social security tax on share options	86	7
	5,372	4,489

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date none of these balances are interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on revenue contracts billed in advance, where the performance obligation is satisfied over time. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period.

	FY 22 £000	FY 21 £000
Contract liabilities relating to contracts with customers at start of period	1,952	1,060
Increase in contract liabilities for the period	1,059	1,952
Contract liabilities released	(1,952)	(1,060)
	1,059	1,952

Unperformed balances represents the revenue that the Company will earn from customers when the Company satisfies the remaining performance obligations in certain contracts. These mainly relate to multi-year contracts which range between 1 to 5 years in which software license and implementation revenue is recognised over the license period. The following table sets out the aggregate amount of the contracted transaction price allocated to performance obligations that are unsatisfied or partly satisfied at the year end date. Unperformed balances relating to contracts with an expected original life of less than one year are not disclosed. Similarly, the Company has adopted the practical expedient not to disclose amounts under longer term contracts in which the revenue is to be invoiced on agreed day rates. Revenue from unperformed performance obligations is expected to be recognised in the following timeframes.

	FY 22 £000	FY 21 £000
To be undertaken and recognised within one year	1,178	1,676
To be undertaken and recognised between one and three years	1,674	1,205
To be undertaken and recognised after three years	918	5
	3,770	2,886

Notes (continued)

14 Non-current liabilities

	FY 22 £000	FY 21 £000
Accruals	24	-
Deferred income	165	304
Social security tax on share options	67	46
	<u>256</u>	<u>350</u>

15 Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	Assets		Liabilities		Net	
	FY 22 £000	FY 21 £000	FY 22 £000	FY 21 £000	FY 22 £000	FY 21 £000
Accelerated capital allowances	-	-	45	-	45	-
Other	(1)	-	-	-	(1)	-
Net deferred tax (assets) / liabilities	<u>(1)</u>	<u>-</u>	<u>45</u>	<u>-</u>	<u>44</u>	<u>-</u>

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the year on 24 May 2021. This rate has been reflected in the calculation of deferred tax assets and liabilities as at 31 March 2022.

On 23 September 2022, the UK Government announced revised plans to hold the rate of UK corporation tax at 19%, cancelling the previous plans to increase the rate to 25% from 1 April 2023. This revised plan has not yet been substantively enacted and has no impact on the current or deferred tax charge in the year ended 31 March 2022.

16 Capital and reserves

Share capital

	FY 22 £	FY 21 £
<i>Allotted, called up and fully paid</i>		
1 ordinary share of £1 each	<u>1</u>	<u>1</u>
	<u>1</u>	<u>1</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

17 Related Parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

18 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphaafmc.com.